

UNIT III

Managerial Ethics and Leadership

End-Semester Exam — Question & Answer Bank

5 Marks | 10 Marks

How to use this guide

For **5-mark** answers: write 12–15 lines with intro, points, and conclusion.

For **10-mark** answers: write 30–35 lines with examples and frameworks.

Use Starbucks examples and named theories/frameworks whenever possible.

SECTION A — 5 MARK QUESTIONS

Q1

[5M]

What is Business Ethics? Explain why ethics matters in business.

MODEL ANSWER

Introduction

Business ethics refers to moral principles and standards that guide behaviour in business organisations. Ethics determines how a company interacts with employees, customers, investors, suppliers, and society.

Importance of Ethics

- Builds trust and brand reputation.
- Reduces legal and regulatory risk.
- Improves employee morale and retention.
- Encourages long-term sustainability.
- Creates competitive advantage.

Conclusion

Ethics is essential for sustainable business growth and stakeholder trust.

Exam Tip: Mention Enron as an example of unethical business practices.

Q2

[5M]

Explain the four ethical decision-making frameworks.

MODEL ANSWER

Utilitarianism: Greatest good for greatest number.

Deontology: Focus on duty and moral rules.

Virtue Ethics: Focus on moral character.

4V Model: Values, Voice, Vision, and Virtue.

Exam Tip: Write theorist names like Kant and Aristotle for extra marks.

SECTION B — 10 MARK QUESTIONS

Q3

[10M]

Discuss Corporate Social Responsibility (CSR) and its importance.

MODEL ANSWER

Introduction

Corporate Social Responsibility (CSR) refers to the responsibility of businesses toward society and the environment.

Carroll's Pyramid of CSR

- Economic Responsibility
- Legal Responsibility
- Ethical Responsibility
- Philanthropic Responsibility

Starbucks Example

Starbucks follows ethical sourcing through its C.A.F.E. practices and invests in sustainability programs.

Conclusion

CSR improves reputation, customer trust, and long-term sustainability.

Exam Tip: Mention Triple Bottom Line: People, Planet, Profit.